

Sixth Supplement to Confidential Private Placement Memorandum

EnCap Energy Capital Fund XII, L.P.

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May 17, 2024

The information set forth herein (the “**Supplement**”) supplements, modifies and amends the Confidential Private Placement Memorandum, dated February 28, 2023 (as amended, the “**Memorandum**”), of EnCap Energy Capital Fund XII, L.P. (the “**Partnership**”). Any statement contained in the Memorandum shall be deemed to be modified or superseded for all purposes to the extent that a statement contained herein modifies or supersedes such statement. This Supplement updates the Memorandum solely with respect to the information set forth herein and does not purport to provide a comprehensive update. All other information provided in the Memorandum is current as of the dates provided therein. Capitalized terms used but not defined in this Supplement are used as defined in the Memorandum.

In addition to the Memorandum and this Supplement, prospective investors should review the Partnership Agreement. Any prospective investor that has previously submitted a Subscription Agreement need not reconfirm its subscription.

I. UPDATED SUMMARY OF PRINCIPAL TERMS

The following is added to Section IX of the Memorandum titled “Summary of Principal terms” following the section titled “Minimum Commitment”.

Maximum Aggregate Commitment: The aggregate amount of Commitments accepted by the Partnership will not exceed \$5 billion (the “**Hard Cap**”) unless the LPAC approves the acceptance of additional Commitments in excess of the Hard Cap.

II. PORTFOLIO COMPANY UPDATES

The following summary describes one unrealized portfolio investment of the Partnership made after Supplement No. 5.

Verdun Oil Company III, LLC *(Fund XII Investment)*

Company Description:

Verdun Oil Company III, LLC (“**Verdun III**”) is a privately held, Houston-based independent upstream company led by the same team as Verdun I and Verdun II which consists of Tim Nein (CEO), Danny Savitz (CFO), Jason LaGrega (COO), Will Rider (EVP Land & BD), and Martin Perez (EVP Engineering).

Verdun III was formed in April 2024 to acquire Repsol’s Eagle Ford assets for \$225 million. The company is capitalized with a \$300 million total commitment, which includes \$285 million from Fund XII and \$15 million from management. The investment is structured in the form of common equity, with Fund XII receiving a proportionate share of distributions until an 8% IRR is achieved. Thereafter, distributions will be allocated on a graduated basis after certain IRR and ROI targets are met. EnCap holds a majority position on the Board of Managers.

Transaction Summary:

Verdun III’s \$225 million acquisition of the Repsol assets encompasses ~34,000 net acres primarily in La Salle County, producing ~10 Mboe/d (20% oil, 60% liquids). Inclusive of newer wells put online, Management’s base assumption for PDP PV10 is ~\$109 million. Management believes that 82 gross development locations exist with compelling economics. Adjusting for PDP, Management believes that greenfield sticks are being acquired for ~\$1.4 million per location. Additionally, Management has identified a number of refrac opportunities representing additional upside.

The current forecast for Verdun III calls for a partial rig development program that grows production to >15 Mboe/d by year-end 2024 and >25 Mboe/d by year-end 2025. At NYMEX strip, 2H 2024 EBITDA and 2025 EBITDA is projected to be ~\$39 million and ~\$175 million, respectively, and the asset would become free-cash-flow positive in early 2025. A distribution program is expected to be initiated in 2025 dependent on commodity prices and leverage profile.

A \$27 million deposit was funded on April 24, 2024 to secure the asset. The acquisition effective date is May 1, 2024 with expected closing on June 3, 2024. Post effective date interim cash flow will be used to decrease the capital needs at the time of closing.

Investment Rationale:

- Attractive asset with an existing production base and meaningful upside opportunities through greenfield drilling locations and refracs
- Following a large multi-national company with opportunities to drive improvements across the asset
- Verdun Management represents a premier operator in the Eagle Ford
- EnCap controls the Board and approves all major decisions

Investment Performance:

- Verdun I was formed in January 2016 with a \$216 million commitment from Fund X. As of 3/31/2024, the company has invested \$140 million of equity and \$285 million of debt to build an Eagle Ford Basin focused company that consists of \$890 million of PDP PV10 and over 450 gross locations that represent compelling development opportunities. Through 3/31/2024, Verdun I has distributed \$541 million net to Fund X and plans to continue their distribution program while maintaining a modest leverage profile.
- Verdun II was capitalized by Fund XI in July 2021 to acquire EP Energy’s Eagle Ford assets. This transaction closed in March 2022 and to date the company has invested \$375 million of equity and \$437 million of debt. As of 3/31/2024, the asset consists of \$1.1 billion of PDP PV10 and over 300

remaining gross locations. A distribution program was initiated in Q4 2022 and \$302 million net to Fund XI has been distributed to date.

- Protégé is a Fund IX portfolio company that was consolidated under Verdun Management in May 2020, where management was able to implement their successful operation techniques and commercial focus. As of 3/31/2024, the asset consists of \$326 million of PDP PV10 and over 30 remaining net locations. Since taking over operations, Protégé has distributed \$285 million net to Fund IX.